

ISRAEL 2011

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1. Overview of the tax-benefit system **National Insurance**

The National Insurance Institute of Israel (NII) is the national institution of social security, operating under the National Insurance Law passed by the Parliament in November 1953.

The main role of the NII is to ensure a means of subsistence to those Israeli residents who cannot earn a living on their own. The NII is the main instrument for reducing poverty; it contributes substantially to the reduction of economic gaps in Israel and guarantees social and economic protection to every resident and family at times of temporary or prolonged distress. The social security is provided by means of about a hundred different benefits paid by the NII to persons entitled to them under the law, as well as by means of rehabilitative and social services.

The NII collects insurance premiums, or contributions, from all residents aged 18 or over in accordance with their income (from wages or other sources) and status: employer, employee, self-employed or non-working. In addition, as of January 1995, the NII is responsible for collecting health insurance contributions under the National Health Insurance Law and distributing them to the various sick funds.

All residents of Israel are covered by the NII, and the main social security benefits paid may be divided into the following categories:

1. Benefits given due to physical (health) condition: Long-term care, Disability, Mobility, Work injury, Accident injury, Hostile action casualties, Domestic violence, Radiation, Transfusion-acquired HIV, Polio victims;

2. Benefits given due to employment condition: Income support, Unemployment; Rights of volunteers;
3. Benefits given due to family situation: Survivors, Alimony, Children, Maternity;
4. Other benefits: Old age, Prisoners of Zion and Martyrs, Righteous gentiles, Reserve service, Bankruptcy or Liquidation of companies.

This document does not refer to all the above benefits, but rather only to those relevant to the questionnaire.

General information:

1. Basic amounts:

As of January 2006, most national insurance benefits, the value of which had been frozen in the framework of the Economy Arrangement Laws for 2002 and 2003, again became adjusted. However, from this date they are calculated according to the *basic amount*, rather than according to the average wage, as previously. The basic amount is updated on the 1st of January of every year at the rate of the rise on the cost-of-living index in the previous year. The basic amount is actually composed of three different sums for the various types of benefits, and was increased by 2.7% in January 2006.

In January 2011 the sums are:

Basic amount [1]	Basic amount [2]	Basic amount [3]
NIS 8,260	NIS 169	NIS 8,158
Death grant Bar Mitzvah grant Long-term care benefit General disability pension Birth grant Maternity allowance Work injury benefit Accident injury allowance Volunteers' benefit	Child allowance	Other benefits Calculation of maximum income for purposes of collection of contributions

1. Average wage:

The Israeli currency is the Israeli Shekel (ILS). In 2011, ILS 3.57 was equal to USD 1. In that year, the average worker in Israel earned ILS 116 484¹.

1.1. Average Worker's wage (AW)

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information, see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The data are available until 2009:

Average monthly gross earning per person (35 hours and more, and 24 hours and more for teachers) employed by activities for the years 1997-2007 current prices														
Activities	Branch	Gross income												
		2009	2008	2007	2006	2005	2004	2003	2002	*2001	*2000	*1999	*1998	*1997
A	Agriculture	6,515	6,136	5,678	6,434	5,675	6,120	6,232	6,173	5,065	4,760	4,805	5,560	3,511
B	Manufacturing	9,651	10,005	9,524	8,795	8,635	8,550	8,497	8,276	8,314	7,493	7,287	6,376	6,074
C	Electricity and water supply	14,226	14,028	13,156	12,890	12,339	11,676	10,956	13,000	11,603	10,697	11,434	8,995	9,099
D	Construction (building and civil engineering projects)	6,681	6,734	6,758	5,952	6,081	6,172	6,352	6,201	6,625	6,056	5,461	5,326	4,734
E	Trade and repair of vehicles and other repairs	7,308	7,625	7,382	6,693	6,519	6,409	6,410	6,575	6,644	6,242	5,715	5,555	5,089
F	Accommodation services and restaurants	5,909	5,550	5,520	5,211	5,007	4,969	5,159	5,130	4,600	4,905	4,154	3,919	3,660
G	Transport, storage and communications	8,899	8,554	8,410	8,190	8,600	8,538	8,094	8,538	8,309	8,048	7,841	7,373	6,845
H	Banking, insurance and other financial institutions	12,431	12,196	12,624	11,997	11,616	10,657	10,768	11,013	10,460	10,611	10,314	9,775	8,722
I	Business services	11,846	11,386	11,013	10,218	10,165	9,188	9,583	10,079	9,244	9,694	8,264	7,605	7,235
J	Public administration	11,100	10,908	10,912	10,683	9,717	10,565	9,677	9,682	9,678	8,943	8,891	7,820	7,467
K	Education	7,686	7,616	7,481	6,896	7,101	6,975	6,862	7,158	7,084	7,175	7,257	6,507	6,483
L	Health, welfare and social services	9,076	9,268	8,853	8,461	8,245	8,400	8,525	8,518	8,181	7,902	7,116	7,167	7,125
M	Community, social, personal and other services	8,727	7,906	7,579	7,519	7,467	7,145	6,582	6,771	6,760	6,404	6,555	5,941	5,786
N	Services for households by domestic personnel	3,864	3,872	3,598	3,922	3,336	3,284	3,640	3,589	3,128	3,254	3,060	2,544	2,763

C-I	Electricity to business services	9,315	9,055	8,854	8,307	8,233	7,866	7,831	8,180	7,881	7,736	7,048	6,588	6,083
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2. Unemployment benefits

Every Israeli resident who is an employee, at the age of 18 or over and under the *retirement age* as defined by law, is covered in unemployment insurance.

There is a monthly unemployment benefit, as well as a few grants given to special groups. There are specific conditions for receiving those grants, detailed as “particular groups” in each chapter.

The grants given are:

- Person working in low wages
- Person in vocational training.
- Daily unemployment benefit to unemployment person referred to working at “*unsuitable*” work

General definitions:

Work is considered ***suitable work*** if it meets these 3 conditions:

- A type of work at which the unemployed person worked in the 3 years preceding his unemployment, or any other work suiting the persons professional training, education level and health condition;
- The wages of the work offered are at least equal to the unemployment benefit which would be due to him, were he entitled to it;
- The work offered does not require a change in residence (according to the rules which have been determined).

Determining date: The 1st of the month in which the unemployed period began, on condition that at least 12 months have elapsed from the first of the month in which the previous unemployment period began.

2.1 ***Conditions for receipt***

- Registration at a labour exchange as lacking work, and being ready and able to work at any *suitable work*, and the labour exchange has not offered such work;
- Age 20 to *retirement age*;
- Fulfilment of a minimum period of insurance.
- Person working at low wages:
 - An unemployed person.
 - Was referred to work at wages lower than unemployment benefit due to him
 - Worked at this work for at least 25 days
 - Did not use up the maximum period for payment of unemployment benefit..
- A person in vocational training

2.1.1 *Employment conditions*

- Unemployment benefit qualifying period:
 - 360 days for which insurance contribution were paid out of 540 days prior to *determining date*
 - For daily employee: 300 days of the above out of 540 days.

2.1.2 *Contribution conditions*

Insurance contributions (July 2011):

	<u>Full rate</u>	<u>Reduced rate²</u>
Employee	0.21%	0.01%
Employer	0.07%	0.03%
Government:		
For employee	0.06%	0.06%

The Ministry of Defense finances the cost of the unemployment benefit to *demobilized soldiers* released from the standing army.

In Israel young people at the age of 18 must serve in the Israeli Defense Forces (IDF). The duration of service is at least 2 years. According to the *Demobilized Soldiers Law*, soldiers released from the army, after fulfilling their army duties, are entitled to several benefits. Those benefits will usually be detailed in this document as “particular groups” at each chapter.

All income of workers, including convalescence grant, vehicle maintenance and telephone expenses, is liable for insurance contributions.

Insurance contributions are paid on income that is not higher than the ceiling that has been determined. The monthly income ceiling for contribution purposes is equal to nine times the *basic amount* [3] (basic amount: NIS 8,158), for all insured person and employers (NIS 73,422 per month).

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The benefit is calculated on the basis of daily average wage of the unemployed person during the last 75 workdays of qualification period. For the first 125 days of payment in the unemployment year, the daily unemployment benefit may not exceed the daily average wage. Beginning with the 126th day of payment, the daily unemployment benefit shall not exceed 2/3 of the daily average wage.

² Reduced rates of insurance contributions are paid on the share of income that is up to 60% of the *average wage*. The regular rate is paid on the remaining share of income.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

January 2011

Gross salary subject to insurance contributions (NIS)		For those below the age of 28			For those 28 years of age or older		
Monthly	Daily	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary	Unemployment benefit per day (NIS)	Unemployment benefit per month (based on 25 days)	Unemployment benefit as percentage of salary
3,000	120	72.00	1,800	60%	96.00	2,400	80%
4,000	160	96.00	2,400	60%	128.00	3,200	80%
5,000	200	112.60	2,815	56%	148.90	3,723	74%
6,000	240	128.60	3,215	54%	168.90	4,223	70%
7,000	280	142.83	3,571	51%	187.13	4,678	67%
8,000	320	156.83	3,921	49%	205.13	5,128	64%
9,000	360	167.43	4,186	47%	218.03	5,451	61%
10,000	400	177.43	4,436	44%	230.03	5,751	58%
11,000	440	187.43	4,686	43%	242.03	6,051	55%
12,000	480	197.43	4,936	41%	254.03	6,351	53%
13,000	520	207.43	5,186	40%	266.03	6,651	51%
14,000	560	217.43	5,436	39%	278.61	6,951	50%
15,000	600	227.43	5,686	38%	290.03	7,251	48%
16,000	640	237.43	5,936	37%	302.03	7,551	47%
17,000	680	247.43	6,186	36%	314.03	7,851	46%
18,000	720	257.43	6,436	36%	326.03	8,151	45%
19,000	760	267.43	6,686	35%	332.28	8,307	44%
20,000	800	277.43	6,936	35%	332.28	8,307	42%
25,000	1,000	327.43	8,186	33%	332.28	8,307	33%

* Maximum daily unemployment benefit – NIS 332.28 for the first 125 days of payment.

As of the 126th day of payment, the maximum is NIS 221.42 .

- Person working at low wages: payment calculated for every day at the rate of the difference between actual wage and 75% of the wage, which served as the basis for calculating the unemployment benefit.
- A person in vocational training. An amount equivalent to the difference between the payment given him during training, and 70% of the unemployment benefit to which he would have been entitled had he been unemployed.
- Daily unemployment benefit to unemployment person referred to ones working at "unsuitable" work: Payment at the rate of the difference between the average daily income from the work and an amount equivalent to the unemployment benefit or an amount equivalent to 75% of the average daily wage which served as the basis for calculation of the unemployment benefit – if the latter difference is higher.

2.2.2 Income and earnings disregards

For a person receiving an old-age pension, the entire pension is deducted from the unemployment benefit due him.

2.3 ***Tax treatment of benefit and interaction with other benefits***

The income taxes on the unemployment benefit are at the rate of the parallel income amount received from work.

National Insurance is deducted from this benefit at the minimum rate of NIS 19 per month (as of 1.1.2011).

Health insurance is deducted from this benefit at a rate equivalent to that deducted from income from work.

2.4 ***Benefit duration (maximum)***

- 125 days for an unemployed person aged 28 to 35, without dependents, in a 12-month period, including the month for which unemployment benefit was paid (*see also: particular groups*);
- 175 days for an unemployed person aged 35 to 45 with at least 3 dependents;
- 138 days for an unemployed person under 35 with at least 3 dependents and for an unemployed person aged 35 to 45 without 3 dependents;

Within a 4-year period, an unemployed person under the age of 40 shall not be paid an unemployment benefit for a period exceeding 180% of the maximum period to which he is entitled. The rate of the unemployment benefit for additional period (beyond 100% of the maximum period) shall not be over 85% of the maximum daily unemployment benefit.

- Person working at low wages the grant is paid for the maximum period of 150 work days, in 2 payments: the first after 75 work days and the second after every additional 25 work days.
- A person in vocational training. Maximum period of payment under the law. For a person with less than 12 years of schooling receives benefit for up to 138 days even if his maximum period less than 138 days, up to the maximum period for payment under law.
- Daily unemployment benefit to unemployment person referred to ones working at "unsuitable" work: for the first 60 days after the beginning of his unemployment.

2.4.1 ***Waiting period before benefit can be received***

Unemployment benefit is not paid for the first five unemployment days in each period of four consecutive months from the *determining date*.

2.5 ***Treatment of particular groups***

2.5.1 ***Young persons***

- **The qualifying period** for minors is 100 days for which insurance contributions were paid out of the 360 days prior to the *determining date*.
- **Benefit duration:**
 - 67 days for an unemployed person aged 25 to 28 without 3 dependents;
 - 50 days for an unemployed person under 25 without 3 dependents.
 - 138 days for an unemployed person under 35, with 3 dependents.

Grants for minor aged 15-18 who took part in vocational training during the period of his unemployment, and if no suitable work training was found for him, on condition that he worked previously and participate in the support of his family at a scope of at least 20%. **The amount is calculated by** the rate of participation in supporting parents and to wages during the qualifying period, within the limits of half the *average wage*.

2.5.2 *Older workers*

- **Benefit duration:** 175 days for an unemployed person aged 45 or over.

2.5.3 *Others if applicable:*

a. Demobilized soldier:

The minimum daily unemployment benefit for a demobilized soldier is determined on the basis of the daily average wage, calculated as 60% of half the *basic amount* [3] (basic amount [3] : NIS 8,158), but no more than 80% of the minimum wage.

Furthermore, a demobilized soldier who works at a job recognised as a *preferred/required* job (at unsuitable work) may be eligible for a **grant** at the rate of half the unemployment benefit due him for a period of 138 days.

Demobilized soldier who worked at a job recognised as a *preferred/required* job that fulfils certain conditions (detailed in the “National Insurance programs in Israel” p.35) is entitled to partial grant.

The amount is calculated by the relative part of the full grant in accordance with the number of workdays at the *preferred/required* job, out of the 150 days entitling one to the full grant. The grant is tax deductible and treated as an income by the Income Tax Authority.

Benefit duration: 70 days

- b. Following decease:** to widow of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] –as it was 1st January (NIS 8,260).

3. **Unemployment assistance**

There is no distinct unemployment assistance benefit in Israel.

4. **Social assistance**

Income support benefit: A benefit paid to a person who is not capable of providing himself by means of income from work, and who is not eligible for payment from any other source. A partial benefit (income supplement) is paid to a person whose income from work or from any other source is lower than the minimum income level for subsistence, determined by law.

4.1 **Conditions for receipt**

- Continuity of residence: Israeli resident for 24 consecutive months preceding the submission of claim;

- Aged 20 and over;
- The incomes of claimant and spouse are lower than the minimum level determined in the law;
- The employment test is required for a person claiming the benefit and his spouse, who are one of the following:
 - **Unemployed** and registered with the Employment Service, from which he is requesting work under the rules determined by the Employment Service and which has not offered him to any work suited to his health and physical condition, or which referred him to vocational diagnosis and rehabilitation.
 - A person who refuses to accept work offered to him or refuses to cooperate is not entitled to benefit for two months
 - A person receiving an unemployment benefit which is lower than the amount of the income support benefit is entitled to an income supplement, provided that he also reports to the income support section of the Employment Service and is prepared to take any work that is offered to him.
- The employment test for the income support benefit applies to the claimant and his spouse. If the spouse does not satisfy the employment test, there is no entitlement to benefit. It should be noted that there are persons exempt from the employment test, such as a mother of a child up to two years old.

4.2 *Calculation of benefit amount*

The income support benefit has a number of rates. Each rate can be paid fully (*income support*) or partially (*income supplement*). Following are the various benefit rates as percentage of the *basic amount* [3] – NIS 8,158.

4.2.1 *Calculation of gross benefit*

For those under the age of 55:

Who had been entitled to regular rate in December 2002 or who began receiving benefit in January 2003: individual - 20%; couple – 27.5%; couple with one child - 30%; couple with two or more children – 33.5%.

Who had been entitled to increased rate in December 2002: individual – 22.5%; couple – 30%; couple with one child – 33.5%; couple with two or more children – 39%.

4.2.2 *Income and earnings disregards*

Maximum income for entitlement to benefit: single, NIS 2,746; couple, , NIS 3,785; couple with one child NIS 4,206; couple with two or more children, NIS 4,954, lone-parent with one child, NIS 5,136; lone-parent with two or more children, NIS 5,884.

The amounts of income support benefit alter in the presence of earnings **above** the specified limits. That is, in calculation of the benefit, income from work is taken into account except for the following disregard: 5% of the average wage for an individual and 7% of the average wage for all others. There is

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an additional disregard of between 30%-40% of income from work according to family composition, as can be seen in the following table.

Newly entitled and persons entitled to regular rate before 2003	Previously entitled - entitled to increased rate	a person under 55
30%	32.5%	individual
30%	30.0%	individual with one child
30%	30.0%	individual with two or more children
30%	32.5%	couple
32.5%	32.5%	couple with one child
37.5%	37.5%	couple with two or more children
40%	40.0%	widow or single child with one child
40%	40.0%	widow or single child with two or more children
30%	30.0%	one orphan from both parents or abandoned child
30%	30.0%	two orphans or two abandoned children
40%	40%	a person aged 55 or over (all family compositions)

4.3 *Tax treatment of benefit and interaction with other benefits*

Health insurance is deducted from this benefit at the minimum rate of NIS 97 per month.

4.4 *Benefit duration*

For an unlimited time, as long as the conditions of entitlement to benefit are fulfilled.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

For those under the age of 25 who are not defined as one of the exceptions set down in the law: the benefit rate is 80% of the rates listed above in (see 4.2.1.)

4.5.2 *Older workers*

For those aged 55 or over:

The increased rate is paid: individual - 25%; couple – 37.5%; couple with one child – 43.5%; couple with two or more children – 49.5%.

4.5.3 *Others if applicable*

a. New immigrants: Conditions for receipt: 12 accumulative months of residence preceding the submission of claim.

b. Widows, separated persons and single parents:

with one child – 42.5% (less one *basic amount* [2] (basic amount: NIS 169).; with two or more children – 52.5% (less one *basic amount* [2]).

c. Rate for children: orphan or abandoned child – 25% (less one *basic amount* [2]); two children – 37.5% (less two *basic amounts* [2]). Each additional child – 10%.

d. Young persons under the age of 20 are entitled to the benefit as one of the exceptions set down in the law, such as a parent of a child in his custody, or pregnant and not living with parents provided that one of them receives an income support benefit, an orphan or an abandoned child.

e. The following may be entitled at the age of 18 or over: those who lack the capacity to work due to illness, released prisoners, prisoners working at service jobs, persons in severe distress.

f. Following deceased: to widow of person (or in absence thereof, to his child) who had received an income support benefit in his lifetime – a lump-sum grant of an amount equivalent to the *basic amount* [1] NIS 8,260 as it was 1st January.

g. Alimony/child support payments: for purposes of the income support benefit, the amounts of alimony or child support are deducted from the amount of the income of a person who pays alimony or child support under a court judgment to a wife or child not living with him. However, the deducted amount may not exceed the income support benefit due to him according to the composition of his family.
Source:

www.btl.gov.il/English%20Homepage/Benefits/Income%20Support%20Benefit/Pages/Who%20is%20eligible%20for%20income%20support%20benefit.aspx.

5. Housing benefits

Housing benefits are under the authority of the Ministry of Construction and Housing

- A. Public housing: An "inventory" of apartments that belongs to the state for the use of those in need. Public housing benefit provides subsidized rental apartments.

It should be noted that there is an extended waiting period for public housing apartments. During this period a special assistance for rental accommodation is provided. One is entitled to choose an alternative option whereby "long-term" rental assistance for private rental accommodation is provided at a higher rate for a period of 5 years. During this period the recipient is removed from the waiting list for public housing. At the end of this period, he/she is entitled reapply.

- B. Renatal Assistance – a grant given to singles, couples, families, elderly and or disabled persons meeting specific criteria as determined by the Ministry of Construction and Housing.

5.1 Conditions for receipt

All housing benefits are subject to a "credit system" which ranks eligibility for housing benefit (credit points of entitlement).

- A. Public housing: The inventory of apartments in public housing is very limited, therefore eligibility for this benefit is restricted to persons who are in a state of economic or functional stress:

- An individual or a family, who do not share rights partial or complete rights to an accommodation - existing or in building process.
- Persons holding a certificate to prove that he/she are lacking an apartment.
- Families:
 - Where both parents have accumulated at least 1400 "credit points".
 - That has 3 or more children.
 - Whose income is less than the maximum amount of social security that a couple with 2 children can receive.
 - Working to their full earning capacity.

B. Housing assistance:

- An individual or a family, who do not share partial or complete rights to an accommodation - existing or in building process.
- A person with an apartment, which is registered in his name under the following conditions:
 - The apartment is not available to him;
 - A close family member is living in that apartment (sister, brother, mother, father);
 - The family member did not and does not have any other apartment registered in his name;
 - The family member has not received any housing assistance.

5.2 *Calculation of benefit amount*

The amount of benefit is calculated by "credit score" system. This score is relevant only for mortgages and public housing benefits.

The "credit score" is determined by several parameters: family situation, number of children in the family, number of siblings of each parent, other benefits given to the family, age, income, benefits for particular groups, and living areas.

Calculation of gross benefit

- A. Public housing: provides accommodation for those who fulfill conditions (as mentioned above).
- B. Rental assistance:

The benefit is calculated according to several parameters: those parameters determine the amount given for rental assistance.

The parameters include:

- Area of residence: Those who do not live in *priority development area* are entitled to larger benefits in accordance with higher rents required in these areas.

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- Family situation: couples, single parent, singles
- Age - relevant only where singles are concerned.
 - Number of children: Those who've received assistance subsequent to 1.6.2002, have been subject to a gradual decrease in benefits.
- Income test – for families with at least one parent working full time whose the total family income is low.
- Existence benefits, including: Earning disability benefit of at least 75% and an income support benefit.
- An increased rate of 10% is given to holocaust survivors, Second World War veterans or victims of the Chernobyl nuclear reactor disaster.

Calculation of assistance with paying the rent:

Most of the rental assistance is allocated to those who do not live in *priority development areas*. Therefore the amount given is for those areas alone:

Category	Amount
Individuals	
<i>Aged 55+ receiving income supplement benefit</i>	580
Couples with no children	
<i>Aged 55+receiving income supplement benefit (aged less than 70)</i>	759
<i>Under the age of 55 receiving income supplement benefit</i>	684
Couples with children	
<i>Age 55+ receiving income supplement benefit</i>	857
<i>Under the age of 55 receiving income supplement benefit</i>	774
<i>Their income from wage is under the income level credit (grade 45)</i>	600
<i>Their income from wage is under 25% above the income level credit (grade 46)</i>	450
Lone parent families	
<i>Aged 55+ receiving income supplement benefit</i>	857
<i>Under the age 55 receiving income supplement benefit</i>	774
<i>Aged 50 (45) or more with 2 (3) children</i>	1088
<i>Their income from wage under the income level credit (grade 47)</i>	600

*The information above *does not* include *all* categories, as for example: families with 4 children or more receive higher assistance families that receive special income supplement benefit and as mentioned there are person entitled to additional rate of 10% above the assistance.

***Income test: the maximum wage in which the person is entitled to the benefit is as follows:

Entitled group	Grade 45 (In NIS)			Grade 46 (In NIS)			Grade 47 (In NIS)		
	Oct. 2009	Feb. 2010	Jan. 2011	Oct. 2009	Feb. 2010	Jan. 2011	Oct. 2009	Feb. 2010	Jan. 2011

Couple	3,970	4,106	4,186	4,962	5,132	5,233			
Couple with child	4,368	4,520	4,610	5,460	5,650	5,763			
Couple with 2 or more children	5,349	5,537	5,652	6,686	6,921	7,065			
Lone-parent family							6,935	7,180	7,330

5.3 *Tax treatment of benefit and interaction with other benefits*

None

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None

5.4.2 *Elderly persons*

Housing benefit rates for the elderly person are increased:

Families and individuals aged 55+ that receive an existence benefit are entitled to increased rental assistance.

Those who receive a pension benefit with income supplement benefit are entitled to increased rental assistance.

Elderly persons are also entitled to sheltered housing as opposed to the inventory of apartments in their area of residency area.

5.4.3 *Others if applicable*

a. Single parent:

- The rates of benefits given to single-parent families are allocated according to two types of families: families with up to 3 children and families with 4 or more children.
- The rates for single-parent families range from NIS 536 to NIS 1,170, in accordance with various criteria.

b. New immigrants

There are three types of eligibility for assistance:

1. Immigrants entitlement based on seniority years - this benefit is given from the second year of residency and until the 5th year of residency. ; the amount of benefit declines every year (max-min):
 - For families: NIS 402- NIS 99

- For individuals: NIS 223 - NIS 89
- For single parents: NIS 402- NIS 134

New immigrants that are also single parents are entitled to higher amount of benefit than veterans.

3. Immigrants in their first years of residency, who immigrated between 15.8.2004 and 31.12.2008 and are entitled to rental assistance, receive a 50% additional rental payment if they live in national preferred areas, as appose to their years of residency.

- c. **Lone soldiers** – soldiers whose families do not live in Israel are entitled to rental assistance amounting to NIS 402 per month while they are in-service

6. Family benefits

Child allowance:

Monthly allowance received by parents according to the number of children in the family. For a child under the age of 18 living in Israel, not married.

Maternity - In Israel there are benefits given to parents due to the birth of a child. Those benefits are detailed under the definition of "Maternity", and will appear in this document in "text box":

- **Hospitalisation grant** – a grant given to the hospital due to hospitalisation in connection with giving birth.
- **Birth grant** – a grant given to the woman giving birth.
- **Birth allowance** – an allowance given due to the birth of 3 or more children in one birth.
- **Maternity allowance and vacation pay** – allowances given due to the maternity leave.
- **Risk pregnancy benefit** – a benefit given during the pregnancy for a woman in risk due to her pregnancy.

6.1 Conditions for receipt

Child allowance:

Insurance contributions (NOT CONDITION FOR RECEIPT!):

	<u>Full rate</u>	<u>Reduced rate</u>
Employee		no payment

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Employer	2.08%	1.32%
Self employed	2.40%	1.32%
Other insured	1.67%	1.10%
Government:		
For employee	0.08%	0.08%
For self employed	0.08%	0.08%

Government participation: 208%(January 2010:169%) of insurance contribution receipts, funds study grants and payments to new immigrant children

Maternity: Government participation: the government participates in paying the birth allowance and the hospitalization grant.

	<u>Full rate</u>	<u>Reduced rate</u>
Employee	0.87%	0.04%
Employer	0.16%	0.12%
Self employed	0.82%	0.56%
Other insured	0.26%	0.11%
Government:		
For employee	0.09%	0.09%
For self employed	0.09%	0.09%

Ministry of Defense: maternity allowance to woman soldiers – a woman soldier who gave birth during her army service is entitled to allowance, funded by the Ministry of Defense

Conditions of entitlement:

- An Israeli resident, age 18 and over.
- An insured person with at least one child;
- **Or**
- An insured person who supports a child who is not his for at least 12 months.

Maternity:

• **Hospitalisation grant, Birth grant and Child Birth allowance:**

- An insured woman or a wife of insured person, even if she gave birth outside Israel.

Or:

- Employee or self employed woman working in Israel or the wife of an employee or self employed person.
- Need to be hospitalized in connection with giving birth.
- Working in Israel for at least 6 month immediately preceding the birth even if not residents in Israel provide she gave birth in Israel.
- The above does not apply to a person living in an area or in territories of the autonomy who is not an Israeli resident – all as defined under the Law.

• **Maternity allowance and vacation pay:**

- An employee or self employed woman;
- Ages 18 and over;
- Working in Israel;
- A woman aged 18 or over in vocational training;
- A woman employee working abroad – under certain conditions.

- **Qualifying period:**

For maternity allowance for mother or father:

The period of payment of insurances contributions for the employee or by self-employed: for 10 out of the 14 months or for 15 out of the 22 months preceeding the *determining date*.

For maternity allowance for mother only: also for 6 out of the 14 months preceding the *determining date*.

For maternity allowance for father:

- The completion of a qualifying period up to *determining date*;
- Employer's authorization of father's maternity leave;
- Wife's agreement to waive part of her maternity leave and her return to work not before the end of 6 weeks from the birth.

Determining date - The day on which the insured woman ceased working while pregnant.

• **Risk pregnancy benefit:**

- A resident of Israel;
- Employee or self employed woman;
- Absence from work due to a medical condition endangering the insured woman or her foetus;
- Qualifying period up to *determining date* for risk pregnancy:
- A period of precautionary rest of at least 30 consecutive days due to risk pregnancy;
- Non-receipt of payment for risk pregnancy from any other source.

Determining date for risk pregnancy – The day on which the insured woman ceased working due to need for precautionary rest as result of risk pregnancy.

Calculation of benefit amount

6.2.1 *Calculation of gross benefit*

Child allowance:

From 2009 to 2012 inclusive, the allowance rates for the 2nd, 3rd and 4th children in families are determined on the basis of the previous *basic amount* [2] that was in force in January 2009 (NIS 159).

For a child born up to June 1, 2003:

- For the first child – the *basic amount* [2] (basic amount: NIS 169);
- For the second child – the *previous basic amount* [2] + NIS 36;
- For the 3rd child – 1.20 of the *previous basic amount* [2] + NIS 93;
- For the 4th child – 2.22 of the *previous basic amount* [2] + 93;
- For the 5th and each additional child – 2.22 of the *basic amount* [2];

For a child born on or after June 1, 2003:

- For the first child – the *basic amount* [2];
- For the second child – the *previous basic amount* [2] + NIS 36;
- For the 3rd and 4th child – 1.20 of the *previous basic amount* [2] + NIS 93;
- For the 5th and each additional child – the *basic amount* [2].

Maternity:

Both employees and self-employed women who work in Israel are entitled, upon giving birth, to a maternity allowance from the National Insurance Institute for the period of their maternity leave from work.

- **Hospitalisation grant:** a sum set in the regulations and updated from time to time.

- **Birth grant:** 20% of the *basic amount* [1] for one child who is the first child of the family, 9% of the *basic amount* [1] for one child who is the second child of the family, 6% of the *basic amount* [1] for one child who is the third or subsequent child of the family; 100% of the *basic amount* [1] for twins and 50% an additional 50% of the *basic amount* [1] for every additional child born in the same birth.

- **Birth allowance:**

Maternity allowance and vacation pay: 100% of the average daily income liable for insurance contributions of the entitled person in the three-month preceding the *determining date*.

For a period of 14 weeks – if insurance contribution were paid for 10 month out of 14 or for 15 month out of the 22 month preceding the *determining date*.

For a period of 7 weeks (for mother only)– if insurance contribution were paid for 6 month out of 14 or for 15 month out of the 22 month preceding the *determining date*

- **Risk pregnancy benefit:** for every day of precautionary rest due to risk pregnancy, the sum which is the lower of the following:
 1. A sum equivalent to the *basic amount* [1], divided by 30.
 2. The insured woman's income in the 3 month preceding the day of her cessation of work, divided by 90.

6.2.2 Income and earning disregards

6.3 Tax treatment of benefit and interaction with other benefits

Child allowance: is not considered as an income and therefore it is not deductible.

Maternity:

The maternity allowance, vacation pay and risk pregnancy benefits:

The taxes are at the rate of the parallel income amount received from work.

National insurance contributions are deducted from these benefits at the rate detailed in the table at the end of this document.

Health insurance contributions are deducted from these benefits at the rate of a parallel income received from work.

6.4 Treatment of particular groups

6.4.1 Young persons

None

6.4.2 Older workers

None

6.4.3 Others if applicable

- a. Increment to child allowance:** paid to large families (families with three or more children) that receive a *subsistence benefit* (income support, alimony, disability, old age, or survivors) from the NII, for the third and fourth children in the family, at the rate of 0.70 of the *basic amount* [2] (*basic amount* [2]: NIS 169) for each child
- b. Study grant:** paid for every child between the age of 6 and 14 years in entitled families, at the beginning of the school year. The grant is at the rate of 18% of the *basic amount* [3] (basic amount: NIS 8,158), for children aged 6-11 and at the rate of 10% of the *basic amount* [3] for children aged 12-14.

The following families are entitled to a study grant:

- A lone-parent family;
- A family with 4 or more children that receives *subsistence benefit*;
- A child orphaned from both parents;
- An abandoned/orphaned child as defined in the Income Support Law;
- A child who immigrated to Israel without an insured parent;
- A woman residing in a shelter for battered woman, under certain conditions;
- A person who receives an income support benefit separately from his/her spouse;

a. Adopting parent –

Condition of entitlement:

Adoption of a child under 10 years old.

Entitlement to vacation pay: cessation of work due to adoption of a child.

Grant: equivalent to the birth grant according to the number of children under 10 years old who were adopted on the same day.

b. Childbirth allowance - A birth of 3 or more children of whom at least 3 remained alive at the end of the 30 day period immediately following the birth, on condition that the mother is entitled to maternity grant.

The allowance payment calculation – a percentage of the *basic amount [1]* (*basic amount [1]*): NIS 8,260, for 20 months.

c. Maternity allowance:

For father:

- The completion of a qualifying period up to *determining date*.
- Employer's authorization of father's maternity leave
- Wife's agreement to waive part of her maternity leave and her return to work not before the end of 6 weeks from the birth.
- Mother's entitlement to maternity leave of at least 14 weeks from the birth and father's maternity leave of at least 21 consecutive days.

d. Special hospitalisation grants:

- A mother who gave birth to more than one child, and she or her child is hospitalized during her maternity leave for a period of more than 2 weeks: entitled to maternity allowance for a longer period – according to conditions determined by law.
- A mother, who gave birth, and she or her child is hospitalized during her maternity leave for a period of more than a week: is entitled to split up her maternity leave.

e. A special allowance and special benefit:

Due to the death of the mother while giving birth or within a year of giving birth, who was insured for maternity grant:

For every child who was born in that birth at the rate of 30% of the average wage for a period of 24 months, or if survivors' or dependents' benefit is paid for him – for a period of 12 months.

A special benefit to her widower if he stop working to take care of the child – at a rate of the injury allowance, for a period of up to 12 weeks.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

7. Childcare for pre-school children

Fraction of children in child care by child's age and type of childcare available:

CHILDREN IN KINDERGARTENS (INCL. DAY-CARE CENTRES), BY OWNERSHIP, CHILD'S AGE AND POPULATION GROUP (1)

Child's age	2009/10			2008/9		
	Total	Private Kinder gardens	Municipal and public Kind- er- garde- ns (2)(3)	Total	Private Kinder gardens	Municipal and public Kinder- gardens (2)(3)
ABSOLUTE NUMBERS GRAND TOTAL (4)	449,424	43,289	406,135	458,215	50,407	407,808
2 years	67,490	26,196	41,294	65,012	25,578	39,434
3 years	118,456	14,763	103,693	121,564	16,752	104,812
4 years	124,373	2,330	122,043	129,430	6,288	123,142
5 years	139,105		139,105	142,209	1,789	140,420

*As of 2008/09, the method of estimating children in private kindergartens was changed, by using a sample.

Child's age	2006/07*			2005/06			2004/05		
	Total	Private Kinder gardens	Municipal and public Kinder- gardens (2)(3)	Total	Private Kinder gardens	Municipal and public Kinder- gardens (2)(3)	Total	Private Kinder gardens	Municipal and public Kinder-gardens (2)(3)
ABSOLUTE NUMBERS GRAND TOTAL (4)	434,497	44,149	390,348	392,646	25,910	366,736	387,914	12,465	375,449
2 years	60,227	22,939	37,338	51,026	14,153	36,873	39,183	5,984	33,199
3 years	118,280	14,205	104,075	100,869	8,528	92,341	106,030	4,506	101,524
4 years	123,072	4,955	118,117	113,410	2,778	110,632	117,051	1,596	115,455
5 years	132,868	2,050	130,818	127,341	451	126,890	125,650	379	125,271

*The sample frame in 2006/07 has been changed from 1000 to 3000.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Child's age	2003/04			2002/03			2001/02		
	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)
ABSOLUTE NUMBERS									
GRAND TOTAL (4)	373,211	14,351	358,861	386,737	13,408	373,329	358,163	13,345	344,818
2 years	34,977	6,991	27,986	29,567	6,777	22,790	29,849	6,718	23,131
3 years	101,438	5,144	96,294	116,343	4,595	111,748	106,846	4,677	102,169
4 years	112,432	1,769	110,664	115,332	1,593	113,739	112,454	1,599	110,855
5 years	124,364	447	123,917	125,495	443	125,052	109,014	351	108,663

Child's age	2000/01			1999/00			1998/99		
	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)	Total	Private Kindergartens	Municipal and public Kindergartens (2)(3)
ABSOLUTE NUMBERS									
GRAND TOTAL (4)	351,403	24,489	326,914	349,864	24,354	325,510	342,472	23,613	317,859
2 years	38,229	12,731	25,498	62,737	10,785	51,952	61,306	11,351	49,955
3 years	98,427	8,781	89,646	84,873	9,007	75,866	84,621	8,653	75,968
4 years	97,842	2,460	95,382	98,282	3,538	94,744	90,454	3,671	86,783
5 years	116,905	517	116,388	103,972	1,024	102,948	106,091	938	105,153

1. As of 2004/05, changes in enrolment rates have been calculated by the child's religion.
2. Incl. day care centres.
3. As of 2004/05, includes children in the Ministry of Social Affairs day care centres.
4. Excl. children aged 6 who attend kindergartens (17,995 Jews and others, thereof 17,101 Jews; 1,577 Arabs; total 19,572 children).
5. The calculation of enrolment rates did not include Arab residents of Jerusalem, because data are not available for many institutions in East Jerusalem

The age which compulsory school starts is: 5 years old – pre-school (kindergartens)

7.1 Out-of-pocket childcare fees paid by parents

The latest data are for 2010.

Average expenditure on education service (families with children aged 0-15 years)*

	2010	
	net money income	13,951.0
	NIS	% from income
Total	516	3.70%
Day nursery	1,185	8.50%
Private kinder garden	1,266	9.08%
Pre-compulsory kinder garden	554	3.97%
Compulsory kinder garden	260	1.86%
Elementary school	371	2.66%
Intermediate school	274	1.97%
Afternoon education	668	4.79%

	2009		2008		2007	
	net money income	13,729.6	net money income	13,151.3	net money income	12,179.2
	NIS	% from income	NIS	% from income	NIS	% from income
Total	503	3.70%	463	3.50%	461	3.80%
Day nursery	1,145	8.34%	1,131	8.60%	1,195	9.81%
Private kinder garden	1,297	9.44%	1,052	8.00%	1,072	8.80%
Pre-compulsory kinder garden	462	3.36%	470	3.57%	470	3.86%
Compulsory kinder garden	298	2.17%	234	1.78%	256	2.10%
Elementary school	358	2.61%	340	2.59%	330	2.71%
Intermediate school	265	1.93%	226	1.72%	231	1.89%
Afternoon education	656	4.78%	593	4.51%	618	5.07%

	2006		2005		2004	
	net money income 11,587.9		net money income 11,230.5		net money income 10,409.8	
	NIS	% from income	NIS	% from income	NIS	% from income
Total	414	3.60%	415	3.70%	394	3.80%
Day nursery	1,159	10.00%	1,088	9.69%	1,000	9.61%
Private kinder garden	1,147	9.90%	890	7.92%	828	7.96%
Pre-compulsory kindergarden	424	3.66%	369	3.29%	399	3.84%
Compulsory kinder garden	247	2.13%	225	2.00%	231	2.22%
Elementary school	257	2.22%	286	2.54%	294	2.82%
Intermediate school	219	1.89%	200	1.78%	223	2.15%
Afternoon education	542	4.68%	498	4.43%	489	4.70%
*The average expenditure is calculated for the families paying the fee in each group.						

The fee for a pre-compulsory kindergarten (ages 3-4) owned by local authorities, women's organisations (such as Wizo, Na'amat, etc.) and other authorities, is determined by the Ministry of Education.

The basic fee is NIS 773 for a school day from 7:30-14:00

The reduction percentage benefit is due to the average monthly gross income per person (including child allowance) as follows:

Average gross income per person (NIS)	Paying Rank (%)
1299-0	10
1407-1300	20
1525-1408	30
1638-1526	40
1781-1639	50
1868-1782	60
1982-1869	70
2171-1983	80
2217-2172	90
+2218	100

The maximum income amount for receiving this benefit from the Ministry of Education is NIS 1,526 (rank 4). Local authorities can fund benefits (beyond the rates given by the Ministry of Education) at their own expense.

Participation in the pre-compulsory kinder garden tuition by the Ministry of Education also takes into account the following circumstances.

1. Area of residency – for the parents living in *preferred area A* and *B* are entitled to a full refund of the tuition.

2. Distressed neighbourhoods, children from age four, living in distressed neighbourhoods as defined by the ministerial commission for distressed neighbourhoods, are entitled to 90% refund of the tuition.

7.2 **Child-care benefits**

There are no cash benefits received by parents for children in childcare.

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

Not relevant

8. **Employment-conditional benefits**

None

9. **Lone-parent benefits**

There are no specific defined benefits for lone parents. However there are special conditions and rates for lone parents in some benefits. Those are detailed in this document in the "other groups" section of each chapter, under the "treatment of particular groups" headline.

10. **Tax system**

The Tax System's administrative structure

There are four **administrative authorities that are involved in determining tax policy and the policy for obligatory payments** as well as regarding their imposition, collection and enforcement:

1. Government offices
2. The National Insurance Institute
3. Local authorities
4. Other statutory bodies

Government offices

Ministry of Finance

State Revenue Administration

The State Revenue Administration is a coordinating branch within the Ministry of Finance that coordinates all issues dealing with state revenues and the tax system.

The Israeli Tax Authority

The Israeli Tax Authority is charged for collecting direct taxes, real property taxes, and indirect taxes on. The Tax Authority is also responsible for the implementation and enforcement of the importation rules.

Additional government ministries dealing with collection

There are number of government ministries that collect fees and obligatory payments, which are paid for licenses or services that they provide. These include the Ministry of Transportation, the Ministry of Justice and the Ministry of the Internal Security.

The National Insurance Institute

The National Insurance Institute collects obligatory payments by virtue of the National Insurance Law (1995) and by virtue of the National Health Insurance Law (1994). The National Insurance Institute is under the supervision of the Minister of Welfare and Social Services, who is charged with the implementation of the National Insurance Institute Law and is authorized to enact regulations pursuant to that Law.

The Minister of Welfare and Social Services chairs the National Insurance Institute Council, whose members include fifty representatives of workers' and employers' organizations, of government ministries and of the public.

The Local Authorities

In 2007, there were 253 local authorities in Israel, of which 76 were cities, 123 were local councils and 54 were regional councils.

Local authorities in Israel collect municipal property taxes, fees and betterment charges on properties within their jurisdictions. Each Local authority has its own tax administration.

The local authorities' income amounted to NIS 16.4 billion in 2007.

Other statutory bodies

Additional statutory bodies, such as the Israel Post Office, the Ports Authority and the Airports Authority collect fees and charges.

Taxes

1. Direct taxes

Three types of direct taxes are imposed on income:

- Income tax
- Capital gains tax
- Real estate tax

2. Indirect taxes

Indirect taxes apply to both locally produced goods and services and imported goods and services. In most cases, these are consumption taxes are imposed on the final consumer.

Taxes on locally produced goods and services

There are three types of taxes on locally produced goods and services:

- Value added tax (VAT)
- Purchase tax
- Fuel excise tax

Taxes on imports

There are three types of taxes imposed on imports:

- Customs
- Purchase tax
- VAT

10.1 Income tax

Taxation of current income (personal income tax)

Personal income tax in Israel for both employed and self-employed is a progressive tax starting at the rate of 10% and increasing to a maximum rate of 47%.

Israel income tax brackets for individuals (2011):

Tax (%)	Income per year (NIS)
10%	1-60,840
14%	60,841-103,920
23%	103,921-168,840
30%	168,841- 254,880
33%	254,881- 482,760
45%	482,761 and over

10.1.1 Tax allowances and credits

Allowance points are granted on the tax due which reduces the tax payable. An *allowance point* is worth NIS 2,508 per year (NIS 209 per month).

10.1.1.1 Standard allowances

The main allowance points are given in the following table:

Subject	No. Of allowance points
---------	-------------------------

Israeli resident	2.25
Woman	0.5
Child under the age of 18 (allowance to the mother)	1.0

10.1.1.2 Standard tax credits

10.1.2 *Income tax schedule*

The employer deducts tax due from his employees at source. The employer transfers the tax to the income tax on the 15th of the month for preceding period. Employers who have a large number of employees report to the Tax Authority once a month, while employers with a lesser number of employees submit their returns once every two months (for example: a small employer submits a return for January and February on March 15). Self-employed persons pay an advance to the Income Tax Authority on the 15th of the month. The advance is calculated by the Tax Authority according to the figures in annual report submitted for the previous year.

Earned income tax credit

A non-wastable earned income tax credit was implemented in 2008 in selected geographical areas of Israel covering 15% of the population. Entitlement to this credit is established based on earnings in the previous year. The tax credit was extended to all areas of Israel in 2012 (based on the earnings in 2011 and therefore we include it in the 2011 version of the model). For mothers of children up to the age of 2 and for single parents the full coverage started in 2011 (based on earnings in 2010).

Under the law, workers aged 23 or more who are parents of one or two children aged less than 18 (or workers aged 55 or more even without children), and earn at least 45 percent of the minimum wage (currently ILS 1,990 per month) but not more than ILS 5,990 per month are eligible for a monthly increment of up to ILS 320. The corresponding figure for a family with 3 or more children is ILS 460. Families in which both parents work, and their joint income does not exceed ILS 11,530, will be entitled to these benefits for each wage-earner. The grant will is paid four times a year directly into the account of the eligible persons.

10.1.3 *State and local income taxes*

Municipal Taxes

There is no local tax imposed on income. Nevertheless, the local authority collects taxes according to the area (square meters) of the premises. The amount of the taxes is influenced only by the size and area of the premises.

10.2 *Treatment of family income*

The tax unit is the individual. Credit points are given due to several family employment conditions, to one specific family member (mother/father/husband/wife).

10.3 *Social security contributions and payroll taxes*

National Insurance

Every resident of Israel aged 18 and over is obligated under law to be insured by National Insurance and to pay the national insurance contributions.

The rate of the monthly payment for a self-employed person amounts to a maximum of 16.23% on a maximum monthly income of NIS 73,422. (In excess of this sum, there is no additional payment to National Insurance).

Health Insurance

Since 1.1.1995 every Israeli resident is insured in National Health Insurance. Therefore every resident must be registered in one of the health maintenance organization, HMO. The insured person can select the HMO as he wishes. The HMO must provide a "basket" of health services as determined by law.

According to the law every Israeli resident must pay contributions for health insurance. These contributions are collected by the NII, which distributes the monies collected to the various HMO's. Rates are calculated according to the insurer's earned and unearned income and according to his work status at a rate determined by law. A person who does not work and has no income pays the minimum payment at the amount of NIS 154.

The following table indicates the rates of insurance contributions paid by the employer and the employee s of April 2011:

Insurance Contribution Rates

in 2011

Insurance branch	Employee						Self-employed	
	Total ³		On employee's account		On employer's account			
	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate ²	full rate	reduced rate
Old-age and Survivors	5.89	1.52	3.85	0.22	2.04	1.30	5.21	3.09
Long-term Care	0.23	0.05	0.14	0.01	0.09	0.04	0.18	0.12
General Disability	2.28	0.37	1.86	0.11	0.42	0.26	1.86	1.11
Accident Injury	0.10	0.02	0.07	0.01	0.03	0.01	0.08	0.06
Work Injury	0.90	0.37	--	--	0.90	0.37	0.68	0.39
Maternity	1.11	0.15	0.87	0.04	0.24	0.11	0.82	0.56
Children	2.08	1.32	--	--	2.08	1.32	2.40	1.39
Unemployment	0.28	0.04	0.21	0.01	0.07	0.03	--	--
Bankruptcy	0.03	0.01	--	--	0.03	0.01	--	--
Total Insurance Branches	12.90	3.85	7.00	0.40	5.90	3.45	11.23	6.72
Health	5.00	3.10	5.00	3.10	--	--	5.00	3.10
Total Contributions	17.90	6.95	12.00	3.50	5.90	3.45	16.23	9.82

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

¹ These rates include the share of the employee and the employer in payment of insurance contributions. In addition, the government participates in the financing of the insurance branches instead of the employer and the self-employed at a rate of 0.67%.

² On income of up to 60% the *average wage*.

10.3.1 *Contributions paid by employees*

The employer is required to report on all his employees and their wages and to deduct national and health insurance contributions from their wages.

On the share of the employee's wages that is under 60% of the *average wage*, insurance contributions are deducted at a total rate of 3.50% (as of 1.1.2008): national insurance contributions at a rate of 0.40% and health insurance contributions at a rate of 3.10%.

On the share of the employee's wages that is 60% or over of the *average wage*, insurance contributions are deducted at a total rate of 12.00% (as of 1.1.2008): national insurance contributions at a rate of 7.00% and health insurance contributions at a rate of 5.00%.

10.3.2 *Contributions paid by employers*

In addition to deducting the insurance contributions from the wages of his employees, the employer must pay insurance contributions from his own income for the various insurance branches – at amounts indicated in the different chapters.

10.4 *Treatment of particular groups*

10.4.1 *Young persons*

One credit point to person 16-17 years old.

10.4.2 *Older workers*

There are special tax brackets for incomes of the elderly.

10.4.3 *Others if applicable*

The following groups receive credit points above the standard credit points:

For example:

- A woman is entitled to 0.5 credit point.
- Lone-parent families are entitled to 1.0 credit point
- A new immigrant is entitled to 1-3 credit points.
- Couples living apart are entitled to participation in childcare.
- A demobilized soldier is entitled to 2.0 credit points.
- Graduates of academic studies are entitled to 0.5 credit point
- Ext.

11. Part-time work

11.1 *Special benefit rules for part-time work*

Part-time workers are entitled to national and health insurance benefits under the same schemes as are full-time workers. They have to fulfill the same qualifying conditions in order to be entitled to any of the above-mentioned benefits.

11.2 *Special tax and social security contribution rules for part-time work*

There are no special rules for part-timework.

12. Policy developments

Regarding the tax system in Israel:

In Israel tax is levied on personal basis. Israelis pay taxes on all sources of income, both in Israel and abroad. Foreign residents pay taxes only on income derived in Israel, all subject to the conventions for the avoidance of double taxation.

In 2011 Israel's corporate income tax rate is 24% (previous rate – 25%).

Individual income tax rates in 2011 are 10%-45%.

Income tax rate on stock exchange gains 15%-20%.

There are reduced tax rates for passive income abroad.

There is an exemption from capital gains for foreign investors, subject to certain conditions.

VAT rates:

until 30.6.2009 – 15.5%;

from 01.07.2009 until 31.12.2009 – 16.5%;

from 01.01.2010 – 16%.

12.1 *Policy changes introduced during 2009*

A. Tax system changes

B. Since 1.1.2011 the top marginal income tax rate for individuals is 45%.

Israel's corporate tax rate is 24% (previous rate – 25%).

C. The Israeli parliament approved a new "negative income tax" reform on 18.12.2007.

The tax reform for employees is effective from 2007, at first covering only an area of about 20% of Israel. Since 2011 the reform covers the entire population. For self-employed people, the reform started in 2008, as a tax credit brought forward for the next years.

12.1 *Policy changes introduced: 2nd July 2011 – 1st July 2012*

From 1.1.2010 income tax rates for individuals are 10%-45%, compared to a top marginal tax rate of 46% in 2009.

Israel's corporate tax rate for 2011 is 24%, compared to 25% tax rate in 2010.

VAT rate decreased from 16.5% to 16% from 01.01.2010.

12.2 Future policy changes announced since 1st July 2010

D. National Insurance Institute

Policy changes introduced during 2010

INCOME SUPPORT

Income from social support

Under a new practice, and in accordance with labour court decisions, regular income from family support or support from welfare agencies is now to be taken into account in calculation of the income support benefit – if such income amounts to above 13% of the average wage for a single person or above 17% of the average wage for a family.

Previous to the change, there were no uniform guidelines on the question of income from social support.

The change is in effect as of January 2010.

Benefit for child of prisoner

Under Amendment 35 to the Income Support Law, a child, resident of Israel whose parent, also resident of Israel, has been in prison or under arrest for over 30 days, is eligible for an income support benefit, even if the other parent – with whom he lives – is not a resident of Israel.

Previous to the change, it was not possible to pay an income support benefit for such a child.

The change is in effect as of April 1, 2010.

Benefit for person under house arrest and for person supervising spouse or child under house arrest

Under Amendment 35 to the Income Support Law, a person whose conditions of house arrest prevent him from working is exempt from the employment test requirement for eligibility for income support benefit.

Similarly, a court-appointed person supervising his spouse or child under house arrest, whose supervision prevents him from working, is also exempt from the employment test requirement.

Previous to the change, entitlement to benefit for such persons was conditional on the employment test; that is, they were obligated to register themselves at the Employment Service as jobseekers.

The change is in effect as of April 1, 2010.

Calculation of income of separated woman

Under Amendment 35 to the National Insurance Law, the maintenance pay awarded by the court to a woman separated from her spouse is not taken into account as income in the calculation of the income

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support benefit, if the woman does not meet the definition of *entitled woman* under the Maintenance Act (is under age 60, has no child with her, and is capable of supporting herself).

Previous to the change, the maintenance pay awarded by the court was taken into account as income, even if the woman was not entitled under the Act.

The change is in effect as of April 1, 2010.

Termination of Welfare-to-Work program

At the end of April 2010, the Welfare-to-Work (Integration of Benefit Recipients into Work) program, which had operated as an experimental program since August 2005, was terminated.

CHILDREN

Retroactive payment of study grant

A study grant is paid under Children Insurance to needy families, for their school-age children. Under amendments to articles 74 and 296 of the National Insurance Law, the study grant shall not be paid retroactively for a period of over 18 months since the date of submission of claim (as is generally the rule with national insurance benefits).

Previous to the change, there had been no limitation on the retroactive payment of the study grant.

This change, in effect as of March 2009, applies to claims submitted on August 2007 and thereafter.

The following two changes are incorporated in the Economy Arrangements Law for 2009 and 2010:

Gradual change in the amounts of child allowance paid for the second, third and fourth children in families

The child allowances paid for the second, third and fourth children in families are to be gradually raised from July 1, 2009 to April 2012.

In the first stage, the allowance for the third and fourth child in families will be raised: for the third child by NIS 60 and for the fourth child by NIS 93. (That is, families with 4 or more children will receive an additional NIS 153 a month). In the second stage, the allowance for the second child in families will be raised. By the end of the process, in 2012, another NIS 100 will be received by families for each of their second, third and fourth children.

Payment of child allowance in extended families (amendment to article 69 of the National Insurance Law)

In cases in which an insured man has children from a number of wives, and all his children were born after June 1, 2003, the calculation of the amount of child allowance to be paid to the family will be in accordance with the total number of the man's children, and the payment will be paid to each wife for her children.

Previous to the change, the amount of the child allowance was calculated for each wife separately, for her own children.

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UNEMPLOYMENT

Delay of entitlement to unemployment benefits to law and accounting interns

Under the Economy Arrangements Law of 2009-2010, lawyers and accountants who complete their internship and who registered for an ordination test are not entitled to unemployment benefits for a period of two months preceding the date of the test.

This change applies to interns who registered for the ordination test that takes place on June 1, 2010 or thereafter.